

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: adequate

Top improvement

Derive before you assert, and self-test before you conclude. Your first recommendation floated a 6–8% price increase that turned out to be about a third of the ~24% actually needed, and twice you stated conclusions (per-unit input inflation, 'not more traffic') that the data didn't yet support. Before stating any number or causal claim, write the equation or name the evidence. Then close with an updated synthesis rather than asking to end the case.

Rubric Scores

Problem Structuring

adequate

What went well

The candidate opened with the profit equation and a hypothesis about which side of the P&L held the answer.

"Profit equals revenue minus cost, so with revenue up 15% and margin collapsing from 24% to 6%, the story is almost certainly on the cost side — costs are growing much faster than revenue."

"My hypothesis upfront: either aggressive store expansion is diluting margin, or input and labor inflation hit while menu prices stayed flat."

What needs work

When challenged on MECE, the candidate correctly diagnosed the overlapping third bucket and added the missing price × volume split on revenue, but both gaps were fixed only after the interviewer prompted rather than caught in the initial structure.

"Three, external: commodity coffee prices, wage inflation, competitive pricing pressure."

"The piece that isn't clean is my third bucket — external factors aren't a separate branch, they're drivers that sit underneath revenue or cost."

"I should explicitly split revenue into price times volume, and volume into transactions per store times ticket size."

The objective (find the root cause and recommend a reversal) was never explicitly restated, and the structure was not tied to the decision the CEO must make.

"I'd break it into three buckets."

Missed opportunities

Opening framework in turn 1, before any data was shared.

A great answer: "The CEO wants to know why margin fell 18 points despite 15% revenue growth, and what to do about it. Profit is revenue minus costs. On revenue I'd split price × volume, with volume as traffic × basket. On costs I'd split COGS, labor and overhead. My hypothesis is COGS inflation with flat menu prices, so I'd start with cost lines as a percent of revenue and menu price history. I'd also check whether peers face the same squeeze, because that tells us how much pricing power we have."

Quantitative & Analytical Rigor

adequate

What went well

The COGS decomposition was set up and computed correctly. It showed beans plus other inputs reconcile exactly to today's 58 points.

"Two years ago COGS was 42 points of revenue: beans 25% of that is 10.5 points, other inputs 31.5 points."

"Beans up 40% gives 14.7; other inputs up 37.5% gives 43.3. Sum is 58 points — exactly today's COGS."

The candidate correctly backed out traffic growth from revenue and ticket growth.

"Revenue is up 15% and ticket is up 10%, so transactions are up about 1.15/1.10 = 1.45%."

What needs work

The candidate eventually laid out the price-sizing equation and solved it correctly (~24%), sanity-checking feasibility and translating it into a per-ticket figure, but this surfaced only after the interviewer asked for sizing; the first recommendation had asserted an underived 6–8% increase, about a third of what was actually needed.

"Take price — even a 6–8% menu increase, roughly in line with two years of input inflation, recovers most of the gap if volume holds"

"That's far more than I floated earlier; my 6–8% was wrong."

"Raise price p: revenue $100(1+p)$, cost still 94, and to hit 24% margin I need $0.76 \times 100(1+p) = 94$, so $1+p = 1.237$ — about a 24% increase."

"Assumption is zero volume loss, which is aggressive — at \$6.80 ticket, a 10% rise is about 70 cents."

The opening margin calculation started with an addition error. It was self-caught, but it shows a need to slow down on simple sums.

| *"Let me redo. $42 + 22 + 12 = 76$, so margin 24%."*

Missed opportunities

Turn 5, when proposing a price increase right after identifying the 16-point COGS gap.

| A great answer: "Before I put a number on price: at flat volume and flat dollar costs, getting back to 24% margin means $94 / 0.76 \approx 124$, so roughly a 24% price increase. That's too much to take at once. Price can realistically cover maybe 8–10 points, getting us to ~13–15% margin, and procurement and mix have to close the rest."

Data & Exhibit Interpretation

strong

What went well

The candidate read every cost line systematically and isolated COGS as 16 of the 18 lost points.

| *"The 18-point drop is 16 points COGS and 2 points overhead. COGS is the whole case."*

The candidate asked what sits inside COGS. When the breakdown arrived, it was tested against the gap and showed inflation is broad-based rather than a bean-only story.

| *"COGS broken out per unit sold by input category — beans, dairy, cups — for both years, plus product mix by volume and a waste or shrink figure."*

| *"So it's input cost inflation across the board, not waste, and not something idiosyncratic to coffee."*

The candidate stated the implication and proposed concrete next steps to validate the diagnosis.

| *"Next steps: a cost-per-unit decomposition to confirm it's input price not waste, and a price elasticity test in a few markets."*

| *"So the recommendation stands, with the pricing lever better supported now: costs are up ~38% blended while price is unchanged."*

What needs work

The candidate twice read more into the data than it supported: first claiming per-unit input cost inflation before seeing input data, then claiming traffic didn't grow. Both had to be walked back under questioning.

| *"Also worth noting: ticket is up 10% to \$6.80 on flat prices, so revenue growth is customers buying more items, not more traffic."*

| *"I assumed inflation without evidence."*

Missed opportunities

Turn 13, after reconciling the COGS components to 58 points.

| A great answer: "Beans add only about 4.2 points (10.5×0.4); the other ~11.8 points come from dairy, packaging and food. So a bean-hedging program alone addresses barely a quarter of the problem. Procurement has to cover all inputs, and price has to carry the rest."

Business Judgment & Insight

adequate

What went well

The candidate focused on commercially sound levers (pricing, procurement, mix) and named a credible competitive risk.

“Risks: volume falloff if competitors hold price, and mix shift toward low-margin items I can't see without basket data.”

What needs work

Key assumptions were stated as fact without justification. These include inelastic demand, input inflation before any input data was seen, and a price figure that was later shown to be wrong.

“specialty coffee demand is fairly inelastic.”

“I assumed inflation without evidence.”

The candidate recognized a full price fix as unrealistic, proposed a blended solution, and flagged the zero-volume-loss assumption as aggressive, but still framed the price lever as a blanket menu increase without considering where demand is least elastic or pairing the volume-loss risk with a mitigation in the recommendation itself.

“Price increase — it's the only lever sized to a 16-point gap and it works immediately.”

“A 24% jump is likely untenable, so realistically it's partial: 8–10% price gets margin to roughly 13–15%, and the rest has to come from procurement and mix.”

“Assumption is zero volume loss, which is aggressive — at \$6.80 ticket, a 10% rise is about 70 cents.”

Missed opportunities

Turn 25, after concluding a 24% price increase is untenable.

A great answer: “So I'd take price selectively, around 8–12% on specialty drinks where loyal customers are least price-sensitive, and hold price on entry items to protect traffic. I'd back that with a loyalty offer and multi-input supply contracts for beans, dairy and packaging, since beans are only a quarter of the cost increase.”

Creativity & Brainstorming

adequate

What went well

When asked, the candidate prioritized with a clear rationale tied to the size of the gap.

“Price increase — it's the only lever sized to a 16-point gap and it works immediately.”

What needs work

Across the prompts, the candidate produced a reasonable range of distinct levers spanning procurement, mix, loyalty, operations and new revenue streams, but the brainstorm had no structure of its own: the interviewer supplied every bucket, and each answer was a two- or three-item one-liner that dried up until prompted again.

“Loyalty program to hold traffic through a price increase, and store-level labor scheduling or throughput improvements.”

“Supply-side contracting — lock in bean prices with forward contracts or hedging — and mix shifting toward higher-margin items like food and lighter-dairy drinks.”

“Retail bean sales, subscriptions, and smaller-format or kiosk locations.”

Missed opportunities

Turn 17, when first asked what else Brew & Bean could do beyond price and cost levers.

A great answer: “Let me split this three ways. On price and mix: tiered pricing, premium seasonal SKUs, and pushing food attach. On cost: multi-input supply contracts, recipe re-engineering on dairy-heavy drinks, and a lower-cost blend for value-focused stores. On new revenue: subscriptions, retail beans and catering. I'd prioritize selective pricing and procurement first, because together they're sized to the 16-point gap.”

Synthesis & Recommendation

adequate

What went well

The turn-5 recommendation was answer-first and compact, with risks and next steps attached.

“Recommendation: go after COGS.”

“Next steps: a cost-per-unit decomposition to confirm it's input price not waste, and a price elasticity test in a few markets.”

What needs work

The supporting reasons rested on unverified premises (input inflation, a 6–8% fix) that the candidate later retracted. The recommendation was never re-synthesized after the price math showed a ~24% gap.

“Take price — even a 6–8% menu increase, roughly in line with two years of input inflation, recovers most of the gap if volume holds”

“So the recommendation stands, with the pricing lever better supported now”

The headline conflated levers: it said 'go after COGS' but led with price, which is not a COGS lever. Then, instead of closing, the candidate repeatedly asked to end the case.

| "I'm done — can we do another case?"

Missed opportunities

Turn 25, after re-sizing the price lever. This was the last chance to deliver a final recommendation.

A great answer: "Updated recommendation: margin fell because input costs rose ~38% across beans, dairy, packaging and food while menu prices stayed flat. First, take an 8–10% selective price increase, worth roughly 7–9 margin points. Second, renegotiate supply across all inputs, not just beans, which are only a quarter of the increase. Third, shift mix toward higher-margin items. The key risk is traffic loss if competitors hold price. Next step: a price test in a few markets before a national rollout."

Communication & Delivery

adequate

What went well

The candidate built directly on interviewer cues, such as the flat store footprint.

| "That matters now that you've told me the footprint is flat at 200 — all 15% growth is same-store, so it's price, traffic, or basket."

What needs work

Repeatedly asking to end the case reads as disengaged and undercuts an otherwise crisp delivery.

| "I'm done — can we do another case?"

The opening and analysis turns were top-down, with enumerated buckets and explicit hypothesis language, but in the brainstorm the answers shrank to bare one-line lists with no signposting or explanation.

| "Retail bean sales, subscriptions, and smaller-format or kiosk locations."

| "I'd break it into three buckets."

| "My hypothesis upfront: either aggressive store expansion is diluting margin, or input and labor inflation hit while menu prices stayed flat."

Missed opportunities

End of turn 5, turn 13 and turn 25, where the candidate closed with 'I'm done — can we do another case?'

A great answer: "That's my current view. Would you like me to go deeper on the price sizing, or move to how we'd execute the procurement piece?"

Pushback, Composure & Case Leadership

adequate

What went well

The candidate held correct positions with evidence and updated wrong ones with explicit reasoning rather than reflexive capitulation.

| "200 stores times \$2.4M is \$480M revenue. 16% of \$480M is \$76.8M, so ~\$77M."

| "It doesn't rule it out. Revenue is up 15% and ticket is up 10%, so transactions are up about 1.15/1.10 = 1.5%."

What needs work

The candidate tried to exit the case three times instead of driving it forward, leaving the interviewer to pull out each next step and each brainstorm bucket.

| "I'm done — can we do another case?"

When challenged, the candidate honestly separated what was supported from what was assumed and asked for the right data to resolve it, but over-claims surfaced only under the interviewer's questioning, which suggests conclusions aren't being self-tested before they are stated.

| "Traffic grew, just less than basket. I overstated it."

| "The input cost claim doesn't; I only know COGS went from 42% to 58% of revenue, which could be input prices, waste, portioning, or mix shifting toward milk-heavy drinks."

| "COGS broken out per unit sold by input category — beans, dairy, cups — for both years, plus product mix by volume and a waste or shrink figure."

Missed opportunities

Turn 13, after the COGS reconciliation, where the candidate said 'the recommendation stands' and asked to end the case.

A great answer: "This confirms broad input inflation, which means my earlier 6–8% price figure needs re-checking. Let me size what price increase actually closes the gap, then split the remainder across procurement and mix."

Model Answer

Structure

Strong structure disaggregates profit = revenue - costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Candidate · 1:30

Let me lay out the structure. Profit equals revenue minus cost, so with revenue up 15% and margin collapsing from 24% to 6%, the story is almost certainly on the cost side — costs are growing much faster than revenue.

I'd break it into three buckets. One, revenue quality: is the 15% growth coming from new stores or same-store sales? If they opened locations, revenue grows but fixed cost and ramp-up drag margin. Two, cost structure: COGS (beans, milk, cups), labor, rent and occupancy, corporate overhead. Three, external: commodity coffee prices, wage inflation, competitive pricing pressure.

My hypothesis upfront: either aggressive store expansion is diluting margin, or input and labor inflation hit while menu prices stayed flat.

Two things I'd want: the split of revenue growth between new stores and same-store sales, and a cost line breakdown as a percent of revenue for year one versus year three. Do we have those?

Interviewer · 1:32

Before I respond to the data request, one question on your structure. On what you asked for: 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. On the data you asked for — I'll come to that shortly. Is it MECE, and what, if anything, is missing from it?

Candidate · 3:03

Fair challenge. Revenue and cost are MECE at the top level, and within cost, COGS / labor / occupancy / overhead is clean. The piece that isn't clean is my third bucket — external factors aren't a separate branch, they're drivers that sit underneath revenue or cost. Commodity prices belong under COGS, wage inflation under labor. So I'd fold that in rather than keep it parallel.

What's missing: on the revenue side I only had volume and mix. I should explicitly split revenue into price times volume, and volume into transactions per store times ticket size. That matters now that you've told me the footprint is flat at 200 — all 15% growth is same-store, so it's price, traffic, or basket.

And one data ask I'd add: menu price history over the two years. If prices rose and margin still fell, costs are the whole story.

Interviewer · 3:07

Average revenue per store is \$2.4M a year. COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. Menu prices have not changed in two years. What do you take from those numbers, and which line do you go after first?

Candidate · 4:38

That closes it. Two years ago: 42 COGS plus 22 labor plus 12 overhead is 76, leaving 24 — wait, that gives 24% then, not 24%. Let me redo. $42 + 22 + 12 = 76$, so margin 24%. Today $58 + 22 + 14 = 94$, margin 6%. The 18-point drop is 16 points COGS and 2 points overhead. COGS is the whole case.

And since menu prices are flat, the 15% same-store revenue growth is pure volume or mix — they're selling more at an unchanged price while input cost per unit has climbed, so every incremental cup earns less. 16 points on \$480M of revenue is about \$77M of annual profit.

Recommendation: go after COGS. Take price — even a 6–8% menu increase, roughly in line with two years of input inflation, recovers most of the gap if volume holds; specialty coffee demand is fairly inelastic. In parallel, renegotiate or hedge bean contracts and audit waste and portioning. Overhead is a secondary \$10M lever.

Risks: volume falloff if competitors hold price, and mix shift toward low-margin items I can't see without basket data. Next steps: a cost-per-unit decomposition to confirm it's input price not waste, and a price elasticity test in a few markets.

I'm done — can we do another case?

Interviewer · 4:40

Several pieces of that need checking. You said 16 points on \$480M of revenue is about \$77M of annual profit. Walk me through that.

Candidate · 5:05

200 stores times \$2.4M is \$480M revenue. 16% of \$480M is \$76.8M, so ~\$77M. That's the COGS overrun versus two years ago, at today's revenue.

Interviewer · 5:07

Okay, the arithmetic is as you described. You also said the revenue growth is pure volume or mix, and that input cost per unit has climbed. What have you seen that supports either of those?

Candidate · 5:51

Nothing directly. Prices are flat, so the 15% has to come from volume or mix — that part follows. The input cost claim doesn't; I only know COGS went from 42% to 58% of revenue, which could be input prices, waste, portioning, or mix shifting toward milk-heavy drinks. I assumed inflation without evidence.

Interviewer · 5:53

Understood. What data would you ask for to separate those explanations?

Candidate · 6:20

COGS broken out per unit sold by input category — beans, dairy, cups — for both years, plus product mix by volume and a waste or shrink figure.

Interviewer · 6:22

I don't have waste or shrink figures, and I don't have product mix by volume. Raw coffee bean costs are up 40% over the past two years. Coffee beans were 25% of COGS two years ago. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit.

Candidate · 7:51

That reconciles. Two years ago COGS was 42 points of revenue: beans 25% of that is 10.5 points, other inputs 31.5 points. Beans up 40% gives 14.7; other inputs up 37.5% gives 43.3. Sum is 58 points — exactly today's COGS. So it's input cost inflation across the board, not waste, and not something idiosyncratic to coffee.

Also worth noting: ticket is up 10% to \$6.80 on flat prices, so revenue growth is customers buying more items, not more traffic. That's volume-driven and doesn't help margin when every unit costs more.

So the recommendation stands, with the pricing lever better supported now: costs are up ~38% blended while price is unchanged.

I'm done — can we do another case?

Interviewer · 7:53

Let's keep to the case. You've said revenue growth is customers buying more items, not more traffic. Walk me through how the data supports ruling out traffic.

Candidate · 8:24

It doesn't rule it out. Revenue is up 15% and ticket is up 10%, so transactions are up about 1.15/1.10 = 4.5%. Traffic grew, just less than basket. I overstated it.

Interviewer · 8:25

Okay. Beyond a price increase and the cost levers you've mentioned, what else could Brew & Bean do to restore its margin?

Candidate · 8:50

Supply-side contracting — lock in bean prices with forward contracts or hedging — and mix shifting toward higher-margin items like food and lighter-dairy drinks.

Interviewer · 8:52

Those two are on the cost and mix side. What else could they do, say on the revenue or customer side, or in how they run the stores?

Candidate · 9:11

Loyalty program to hold traffic through a price increase, and store-level labor scheduling or throughput improvements.

Interviewer · 9:13

Okay. Anything more creative, say changes to the product, the format of the stores, or new revenue streams?

Candidate · 9:27

Retail bean sales, subscriptions, and smaller-format or kiosk locations.

Interviewer · 9:30

Understood. Of everything you've put on the table, which would you prioritize first, and why?

Candidate · 9:49

Price increase — it's the only lever sized to a 16-point gap and it works immediately.

Interviewer · 9:51

Walk me through how you'd size that. What price increase would close the gap, and what assumption are you making about volume?

Candidate · 11:12

Hold volume flat and costs in dollars constant. Base 100 revenue, 94 cost, 6 profit. Raise price p : revenue $100(1+p)$, cost still 94, and to hit 24% margin I need $0.76 \times 100(1+p) = 94$, so $1+p = 1.237$ — about a 24% increase. That's far more than I floated earlier; my 6–8% was wrong.

A 24% jump is likely untenable, so realistically it's partial: 8–10% price gets margin to roughly 13–15%, and the rest has to come from procurement and mix. Assumption is zero volume loss, which is aggressive — at \$6.80 ticket, a 10% rise is about 70 cents.

I'm done — can we do another case?

Interviewer · 11:14

That's time. Thanks for working through it — your written report will follow.